

In less than a week, a flaky prospectus with ambitious projects and projections would be ready and the company would be all set to go public. The merchant banker would get to keep anywhere between 15 and 20 per cent of the capital raised.

GB once told me about a promoter of an electronic goods trading firm who happened to be a good friend of his. 'Seeing everybody around him make a beeline for the capital market, this friend of mine too decided to try his luck. Sure enough, he managed to get a merchant banker who assured him that his company would find plenty of takers. When I met him at a party, he told me he was planning to price his issue at Rs 50. I told him he would be out of his mind to do so. "On what basis can you price it at Rs 50, and who would want to pay that much when you do not have the earnings to support such a valuation? It is much safer to price your issue at one-third of that," I told him. He promised to think over it.

'I happened to bump into him a week later. He came up to me and said: "Govindbhai, I thought about what you told me at the party the other day. And I kept asking myself about the logic of pricing my issue at Rs 50. Two days back, as I was having a shower, a thought struck me. Why can't my issue price be Rs 75; why should it be just Rs 50? So I have decided to price my issue at Rs 75."'

GB's friend was successful in raising Rs 10 crore. That may sound like chicken feed today, but it was a significant sum at the time. More so for GB's friend, who made less than one-tenth of that sum annually as net profit. It was certainly good enough for some people who would never need to work again for the rest of their lives if they invested it wisely.

I asked GB what happened to his friend.

'I guess he would never have dreamed of coming across such a huge sum in so short a time. He did not know what to do with it. Or maybe he figured it out. One fine day he simply vanished,' GB said.

Aware of the crazy things happening in the market, SEBI stepped in to keep the merchant bankers as well as promoters on a leash. Regulations were laid down for merchant bankers, and those seeking business from companies had to have a licence from SEBI. Merchant bankers were classified as grade I, II, III or IV, depending on their resources and pedigree.

There were other regulations to make the market a safer place for retail investors, such as the requirement of companies to disclose all material facts, follow a code of advertisement, vetting of offer documents by SEBI